

Technical Indicators

RSI, MACD, Bollinger Bands, Moving Averages — explained simply

14 pages

Educational Guide

Not Financial Advice

© 2025 Fueva — The Edge | getfueva.netlify.app | @FUEVAEDGE

FOR EDUCATIONAL PURPOSES ONLY. NOT FINANCIAL ADVICE.

1. RSI — Relative Strength Index

The RSI measures the speed and magnitude of recent price changes on a scale of 0 to 100. It tells you whether an asset is potentially overbought (too expensive, due for a pullback) or oversold (potentially a bargain). Default period: 14 bars.

RSI Level	Meaning	Suggested Action
Above 70	Overbought — momentum is extended	Consider taking profits or waiting
50-70	Bullish momentum — buyers in control	Trend is healthy, watch for continuation
30-50	Bearish momentum — sellers in control	Caution — wait for RSI to recover
Below 30	Oversold — potential bounce territory	Possible entry at key support levels

RSI Divergence — The Most Powerful Signal

Bullish divergence: price makes a lower low but RSI makes a higher low. Momentum is improving even as price falls — often signals a reversal upward before it happens. Bearish divergence: price makes a higher high but RSI makes a lower high — often precedes a reversal downward. These are among the most reliable signals in technical analysis.

2. MACD — Moving Average Convergence Divergence

MACD tracks the relationship between two moving averages of price, showing changes in momentum, direction, and duration of a trend. Three components: MACD line, signal line, histogram.

MACD Line

The difference between the 12-period and 26-period EMAs. When positive, short-term momentum is stronger than long-term — a bullish condition. When negative, bearish.

Signal Line

A 9-period EMA of the MACD line. When the MACD line crosses above the signal line it is a bullish signal. When it crosses below, bearish. Crossovers are the primary MACD trade signal.

Histogram

The difference between the MACD line and signal line shown as bars. Growing bars mean accelerating momentum. Shrinking bars mean momentum is fading — often an early warning of a trend change.

Zero Line Cross

When the MACD line crosses above zero, momentum has shifted to bullish. Below zero means bearish momentum is dominant. Zero-line crosses are slower but more reliable than signal-line crosses.

3. Moving Averages

Moving averages smooth price data to reveal the underlying trend. They are the foundation of almost all technical analysis systems.

Simple Moving Average (SMA)

The average closing price over a set number of periods. The 50-day and 200-day SMAs are the most closely watched by institutional traders. Price above the SMA suggests bullish bias; below suggests bearish.

Exponential Moving Average (EMA)

Similar to the SMA but gives more weight to recent prices, making it more responsive to new information. The 9 and 21 EMA are popular for short-term trading; the 50 and 200 for longer-term analysis.

Golden Cross

When the 50-day SMA crosses above the 200-day SMA. Considered a major bullish signal that often attracts significant buying from institutional investors and trend-following funds.

Death Cross

When the 50-day SMA crosses below the 200-day SMA. The opposite of a golden cross — a major bearish signal that often precedes extended downtrends and institutional selling.

4. Bollinger Bands

Three lines: a 20-period SMA (middle band) with two bands plotted 2 standard deviations above and below it. They measure market volatility and identify potential price extremes.

Band Squeeze

When the bands narrow significantly, it signals that low volatility is ending and a large move is coming. Direction is not predetermined — the squeeze only tells you a big move is imminent.

Band Expansion

When the bands widen rapidly, a large move is already underway. The direction of expansion indicates the trend. Expansion after a squeeze often leads to sustained directional moves.

Upper Band Touch

In a strong uptrend, price consistently touching the upper band is a sign of strength, not a sell signal. Only consider it overbought when combined with other bearish signals.

Lower Band Touch

In a strong downtrend, price at the lower band confirms weakness. Only consider buying when there is additional confirmation such as a bullish candlestick pattern.

5. How to Combine Indicators

The Golden Rule

Never rely on a single indicator. The most powerful signals occur when multiple independent indicators align simultaneously. Example of a high-conviction buy: RSI emerging from oversold + MACD bullish crossover + Price bouncing off 200-day SMA + Rising volume + Bullish hammer candle. Five independent signals pointing in the same direction is far more reliable than any single one alone.

1. Trend: Use the 50 and 200 SMA to determine the primary trend direction first
2. Momentum: Use MACD to confirm momentum aligns with the trend
3. Timing: Use RSI to find the optimal entry point within the trend
4. Volatility: Use Bollinger Bands to understand current volatility context
5. Confirmation: Always confirm with volume — it is the final vote on any signal

This guide is produced by Fueva for educational purposes only. Nothing in this document constitutes financial, investment, or trading advice. Always conduct your own research and consult a licensed financial advisor before making investment decisions. Past performance does not guarantee future results.

getfueva.netlify.app | @FUEVAEDGE | For informational purposes only